MODEL VALIDATION CASE STUDY

NEATU_NQ_05

An intraday Nasdaq-100 strategy, validated the way a risk model is

Designed 2015–2018 · checked 2019–2022 · out of sample 2023 – Oct 2026

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HOW IT WAS BUILT

Rules fixed first, then tested on data they never saw

Intraday trend continuation on the Nasdaq-100 CFD: at most one trade a day, only with the prevailing trend, flat by the close. A fixed share of capital is risked per trade.

2015 – 2018

Design

Rules and settings chosen here only

Every test plan hashed (SHA-256) before it ran; deviations logged

2019 – 2022

Check

Verified, never re-tuned

Expected out-of-sample range frozen before the results were read

2023 – Oct 2026

Out of sample

Different data feed and platform

Spread, slippage and 1-minute exit simulation included

RESULTS BY PERIOD

The same edge in every period

Nasdaq-100 CFD	Design 2015–18	Check 2019–22	Out of sample 2023–26
Trades	238	289	269
Profit factor	1.44	1.41	1.44
Win rate	52.9%	56.7%	55.4%
Net result	+49R	+50R	+50R
Max drawdown	15.3R	8.6R	12.8R
Sharpe ratio	1.12	1.14	1.20

TradingView, Pepperstone NAS100, costs included. R = the amount risked on one trade.

PREDICTION VS OUTCOME

Out of sample landed inside the frozen forecast

2023–26 metric	Expected (5%–95%)	Median	Actual	Verdict
Profit factor	1.15 – 1.86	1.47	1.44	Inside
Win rate	49% – 60%	54%	55%	Inside
Average R	+0.07 – +0.33	+0.20	+0.18	Inside
Net result	+17R – +79R	+48R	+50R	Inside
Max drawdown	6.0R – 16.9R	9.6R	12.8R	Inside
Trades	208 – 268	239	269	Just above*

95% confidence interval for average R: +0.04 to +0.34 · probability the true edge is zero or negative: **0.7%**

* the TradingView feed takes about 7% more trades than the research data (measured). Forecast: block bootstrap of 2015–22 days. · 4 / 10

IS IT LUCK?

The edge is choosing the day and the direction

PF 1.05

Random time and direction

Median of 200 random strategies on the same days, stops and exits. None reached the real PF of 1.47.

PF 1.68

Random time, real direction

Keeping only the day and side still makes money. The exact entry candle adds nothing.

91% → 50%

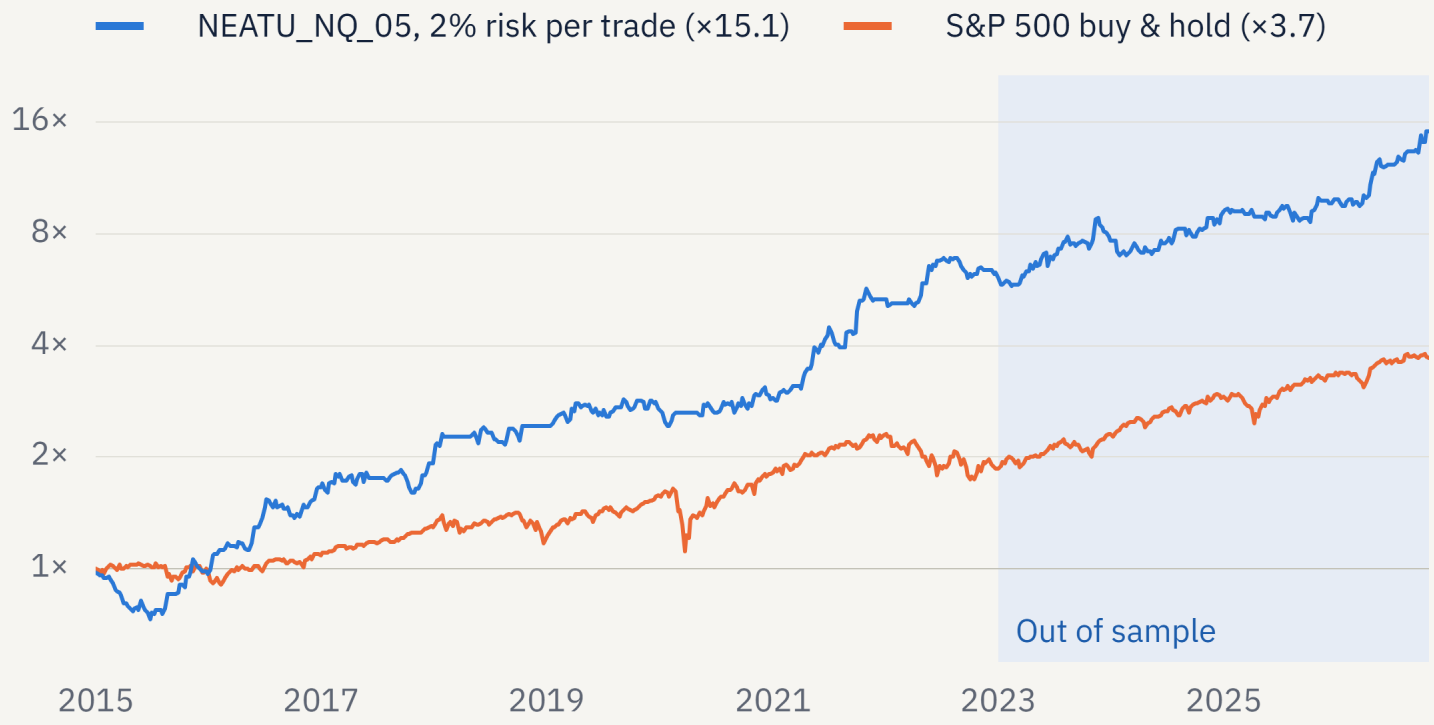
Deflated Sharpe ratio

Probability of skill after correcting for 100 to 10,000 tried variants. All 2,376 variants of the family are profitable (median Sharpe 1.20).

Research data, Nasdaq-100 CFD, 2015–2022, 1-minute exit simulation, costs included.

BENCHMARK · 2015 – OCT 2026

Returns unrelated to the index



	Strategy	S&P 500
CAGR	25.9%	11.7%
Sharpe	1.17	0.72
Max drawdown	25.9%	33.9%
Correlation	−0.02	1
Beta	≈ 0	1

On the 20 worst S&P days: S&P −104%, strategy +12.7%. Since 2023 a 50/50 mix had Sharpe 1.70, max drawdown 11.4%.

Log scale. Strategy: TradingView NAS100, 2% of current equity per trade. S&P 500: daily closes. · 6 / 10

STRESS TESTS · PROFIT FACTOR

Survives worse costs, late entries and nearby settings

Scenario	Research 2015–18	Research 2019–22	TradingView 2023–26
Base case	1.52	1.43	1.44
Costs doubled	1.36	1.41	1.36
Costs tripled	1.25	1.38	1.29
Entry one candle late	1.33	1.46	n/a
Extra stop slippage (3 bp)	1.28	1.25	1.27

11 one-step changes to the settings: profit factor 1.37 – 1.73 (2015–22). A plateau, not a fragile peak.

Profit factor = gross wins ÷ gross losses. TradingView scenarios add spread or slippage to the real fills. · 7 / 10

RISK SIZING · MONTE CARLO AND VAR

Position size decides the drawdown

Risk per trade	1-year max drawdown (95th pct)	Chance of a 10% drawdown in a year	Median 1-year return
0.25%	3.2%	0.0%	+3.0%
0.5%	6.3%	0.2%	+6.1%
1%	12.3%	13.2%	+12.2%
2%	23.4%	71.6%	+24.5%

2.1%

Daily VaR 99% at 2% risk

2.5%

Expected shortfall 99%

−5.2% worst day

19 Oct 2023: price jumped through the stop (−2.6R). Stops do not cap fast markets.

10,000 block-bootstrapped paths of TradingView NAS100 trading days, 2015–2026, compounding. · 8 / 10

SECOND MARKET AND REPRODUCTION

Same rules elsewhere, same trades on another engine

S&P 500 CFD, rules unchanged, never tuned on it

Period	Profit factor
2015–18	1.66
2019–22	1.49
2023–26	1.19

Positive out of sample (+19.7R), but weaker and not significant: 95% interval 0.90 – 1.57.

Research engine vs TradingView, 2015–22

Check	Result
Research trades also taken	96%
Same direction	472 / 473
Correlation of results	0.88

Two data feeds, two engines, one strategy: the numbers do not come from a coding error.

The S&P 500 CFD from 2015–22 was part of the design data together with the Nasdaq-100; from 2023 it is unseen. ·

WHAT A VALIDATOR SHOULD STILL QUESTION

Limits and next steps

Limits

- One market carries the evidence: about 270 out-of-sample trades, profit factor interval 1.08 – 1.91
- The S&P 500 is weaker after 2022 and not significant
- Stop slippage is the main sensitivity; fast markets can lose more than 1R
- Many variants were explored: deflated Sharpe 50% – 91% depending on the count
- Short live track record: the evidence is mostly backtests
- A single strategy: the equity curve depends on one edge

Next

- Forward test at 0.25% – 0.5% risk per trade
- Kill switch: stop if the rolling 100-trade profit factor falls below 1
- Re-validate each year against a newly frozen forecast
- Add uncorrelated strategies to smooth the equity curve and spread the risk